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ROAD AHEAD Shailesh Chandra, Managing Director, Tata Motors Passenger Vehicles Ltd. & Tata Passenger Electric Mobility Ltd.

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Banking on EVs

Despite some roadblocks, Tata Motors bets big on premium hatches amid the SUV boom and targets 50% EV market share

BY **CHETAN BHUTANI**

► **AS INDIA'S EV** market heats up, Tata Motors is doubling down on its long-term strategy to retain leadership in the space—with a bold target of achieving 50% market share in the EV segment.

The company is also strengthening its focus on premium hatchbacks and CNG models, even as sports utility vehicles (SUVs) continue to dominate the passenger vehicle market.

Tata Motors currently com-

mands a dominant position in EVs, particularly in the entry segment where its market share stands at 75%. However, increased competition in the ₹12-20 lakh mid-EV segment has seen its share dip to around 33%, even as the overall market expands.

"We are not very perturbed by short-term market share losses," said Shailesh Chandra, Managing Director, Tata Motors Passenger Vehicles Ltd & Tata Passenger

Electric Mobility Ltd.

A key part of this strategy is the recently launched Harrier EV. "We designed the Harrier EV to eliminate key EV adoption barriers—price parity, range anxiety, and charging speed," Chandra said.

Despite the growing preference for SUVs, Tata Motors remains committed to the premium hatchback segment, which continues to see healthy demand.

In the past five years, the share of SUVs in India's passenger vehicle market has grown, while hatchbacks have shrunk. However, the premium hatchback segment—led by models such as the Tata Altroz—has bucked the trend.

"Premium hatches are attracting first-time and young buyers who seek feature-rich, compact vehicles for city driving," Chandra said.

He added that India's rising household incomes will drive demand for premium hatchbacks.

Conversely, the entry-level hatchback segment is under pressure, with many buyers opting for used cars offering better value. Used car sales in India have surged from 2.5 million to 5.5 million units in the past five years, with average prices at ₹4.5 lakh.

"Entry-level hatchbacks face competition from used cars, which offer bigger, well-maintained vehicles with warranties and financing. However, buyers wanting new cars are gravitating towards feature-rich premium hatches," Chandra said.

Tata grew its CNG sales by over 50% last year—outpacing the industry growth rate of 30%—and became the second-largest player in the segment.

The company aims to sustain this momentum.

"The government has been very supportive of the EV industry. Last year alone, the EV market crossed the 120,000-mark," Chandra remains optimistic about government intervention in EV adoption. **BT**

@BhutaniChetan